#1 · 13% of marks

Ind AS 110 — Consolidated FS

Control decides **who** is consolidated. The 4 WNs decide **how**. Ownership changes decide **P&L vs equity**.

1 Control = all THREE 7

Power
*Existing rights giving **current ability** to direct **relevant activities***

Exposure
*Rights to **variable returns** (dividends, synergies, fees, losses)*

Link
*Ability to **use power** to affect those returns*

2 Power — the twisted cases B9 - B54

Situation	Answer
***Protective rights** only (veto on fundamental changes, lender covenants)*	**No power** B26
***Substantive** rights — practical ability to exercise when decisions are made*	**Count them** B22
***Potential voting rights** (options / convertibles)*	*Count only if **substantive** (exercisable, in the money / no barriers)* B47
***< 50% votes, rest widely dispersed** (e.g., 48% vs thousands of 0.1%)*	**Control — de facto** B41 - B42
45% with 2 others at 26% / 29%	**No control — others can combine**
Contractual arrangement gives power without votes (structured entity)	*Look at purpose & design, who directs relevant activities* B51

3 Principal vs agent B58 - B72

→ *A decision-maker acting as **agent** for others does **not** control. Weigh: **scope of authority**, **kick-out rights** held by others, **remuneration** (market-based?), **other interests** (exposure to variability)*

→ *A **single party** that can remove the manager **without cause** → manager is an **agent*** B65

4 Who need NOT prepare CFS 4(a)

→ *Wholly-owned sub, or partly-owned with other owners **informed & not objecting**; debt/equity **not publicly traded**; not filing to issue; ultimate / intermediate parent publishes **Ind AS CFS***

→ ***Investment entity** → subs at **FVTPL** (except service subs)* 31*; its **non-investment-entity parent** still consolidates everything* 33

→ *Law: **Sec 129(3)** requires CFS; exemption under **Rule 6**, Companies (Accounts) Rules on similar conditions*

5 The four working notes

WN	What it does
WN 1 Net assets	Sub's net assets at **acquisition date** (at FV, incl. FV adjustments & DT) and at **reporting date** → **post-acquisition change**
WN 2 Goodwill	Consideration + NCI + FV of previously held interest − net identifiable assets (Ind AS 103 · 32)
WN 3 NCI	NCI at acquisition + NCI% × post-acquisition change (− NCI share of upstream URP)
WN 4 Group RE	Parent RE + parent% × post-acq change − downstream URP (full) − upstream URP (parent%) − impairment (parent share)

6 Goodwill & NCI measurement Ind AS 103

- → **NCI choice per acquisition**: **FV** (full goodwill) or **proportionate share** of identifiable net assets (partial goodwill) — only for present ownership instruments with proportionate share on liquidation
- → **Bargain purchase** → reassess first; then gain in **OCI** → **capital reserve** if clear evidence of reasons; otherwise **directly to capital reserve** (Indian change; IAS 103 → P&L)
- → Goodwill impairment under **full goodwill** → shared parent / NCI in profit-sharing ratio; **partial** → gross-up for testing, only parent share recognised

7 Procedures B86 - B95

- → **Uniform policies** — adjust sub's FS B87
- → Reporting dates differ → sub prepares extra FS; if impracticable, gap **≤ 3 months** + adjust significant events B92 - B93
- → **Intra-group** balances, transactions, URP eliminated **in full**; losses may signal impairment B86(c)
- → Profit / OCI attributed to NCI **even if NCI goes into deficit** B94
- → **Cumulative preference shares** held by NCI → parent's share computed **after** those dividends, **declared or not** B95 (LDR Topic 1)

8 URP — who bears it

Direction	Elimination	DTA (Ind AS 12)
Downstream P → S	Full; **parent bears 100%**	Buyer's rate; all to parent
Upstream S → P	Full; **split parent / NCI**	Buyer's rate; split

Eliminate **100% always**. Only the **sharing** of the hit changes with direction.

MOST TWISTED

9 The ownership-change map

Change	Treatment	Ref
Control continues (60% → 80%, or 80% → 60%)	**Equity transaction**: adjust NCI; difference vs consideration → **equity of parent**. **No goodwill change, no P&L**	110 · 23, B96
Loss of control (60% → 30%)	Derecognise assets, liabilities, goodwill, NCI; recognise consideration + **retained interest at FV**; recycle OCI as if disposed directly; gain / loss → **P&L**	110 · 25, B98 – B99
Step acquisition (30% assoc → 60%)	Remeasure old interest to **FV at acquisition date** → gain / loss **P&L**; recycle its OCI as if disposed	103 · 42
FVOCI equity (10%) → sub (60%)	Remeasure to FV; gain in **OCI**; never recycled	103 · 42
Associate → associate (30% → 40%)	No remeasurement of old stake; add cost; equity method continues	Ind AS 28

10 Loss of control — gain computation

FV of consideration received **+** FV of retained interest **+** carrying amount of NCI
− net assets of sub (incl. goodwill) at carrying amount
= gain / loss → **P&L** (attributable to parent) **±** OCI recycled (FCTR, CFH) / RE transfer (revaluation surplus)

⚠ TRAP

Linked transactions (B97): two steps that are really one deal (same time, in contemplation of each other, one depends on the other, uneconomic alone) → treat as a **single loss-of-control** transaction. Stops "sell 15% to equity, then 50% to P&L" games.

11 Policy vs estimate inside consolidation

→ Sub uses **different policy** (FIFO vs weighted average) → **align** to group policy in CFS

→ Sub uses **different estimate** (useful life) based on its own conditions → **no adjustment** needed

While control lasts, the **owners swap among themselves** → **equity**. When control is lost, the **group sells a business** → **P&L**.

12 Separate FS — Ind AS 27

- → Investments in subs / JVs / associates at **cost**, **Ind AS 109** or **equity method** — same for each category 27 · 10
- → **Dividend** from sub / JV / associate → **P&L when right is established** 27 · 12
- → New parent via share swap (no change in substance) → cost = share of equity in original parent's SFS 27 · 13

13 Associates & JVs — Ind AS 28 quick hits

- → Significant influence presumed at ≥ **20%** (rebuttable); indicators: board seat, policy participation, material transactions, interchange of managers, technical info
- → Equity method: cost + share of post-acq profit / OCI − dividends received
- → Losses beyond interest → stop at zero unless legal / constructive obligation; **long-term interests** (LTI) absorb losses after Ind AS 109 is applied to them first
- → Up / downstream URP with associate → eliminated only to the **investor's share** (unlike subsidiary — full)
- → Impairment → whole investment tested under Ind AS 36 (goodwill not separately)

14 Joint arrangements — Ind AS 111

	Joint operation	Joint venture
Parties have rights to	**Assets & obligations** for liabilities	**Net assets**
Accounting	Own share of assets, liabilities, revenue, expenses	**Equity method** (Ind AS 28)
Clue	No separate vehicle, or vehicle's form / terms / facts give direct rights	Separate vehicle with limited liability, no override

15 Common control combinations — Ind AS 103 App C

- → **Pooling of interests**: assets & liabilities at **carrying amounts**; no FV, **no new goodwill**
- → Difference (consideration vs share capital of transferor) → **capital reserve** (separately presented)
- → Restate prior-period info **as if combined from the beginning of the preceding period** (or from the date common control began, if later)

16 Companies Act links

Provision	Point
Sec 2(87)	Subsidiary: controls **composition of Board**, or **> ½ of total voting power** (alone or with subs)
Sec 2(6)	Associate: significant influence = **≥ 20% of total voting power** or control / participation in business decisions under agreement
Sec 129(3)	CFS of company + all subs, associates, JVs, in same form; **AOC-1** salient features
Sec 143(1) proviso	Holding company's auditor has **right of access** to records of subs / associates to the extent needed for consolidation
Layers Rules, 2017	Limit on layers of subsidiaries (certain classes exempt)

⚠ TRAP

Legal "subsidiary" (Sec 2(87)) and Ind AS "control" can differ — CFS follow **Ind AS 110 control**.

17 AAA bridge

Area	Requirement
SA 600	Principal auditor using work of other / component auditors: nature of reliance, communication, procedures, reporting
CARO 2020	**Not applicable to CFS** except **3(xxi)**: qualifications / adverse remarks in CARO reports of companies in the CFS — names, CIN, clause numbers
SA 550	Related parties — intra-group transactions identified for elimination
SA 540	FV of identifiable net assets, NCI at FV, goodwill impairment
Sec 143(3)(i) / ICFR	Report on IFC over financial reporting also for CFS (Indian subs)

18 Technology link (SM Ch 17 PYQ)

Many subs incl. foreign → **RPA bots** extract each sub's data, convert currency, identify & **eliminate intra-group transactions**, post elimination entries → accurate, consistent, timely CFS.

✍ Write in exam

"As per para 23 of Ind AS 110, changes in a parent's ownership interest in a subsidiary that do not result in loss of control are equity transactions. The carrying amounts of the controlling and non-controlling interests are adjusted, and any difference between the amount by which NCI is adjusted and the fair value of consideration paid or received is recognised directly in equity attributable to owners of the parent."